Sub-module 5: Marketing and Supply Chain for Managers Operations Management

Johan Larsson, johan.larsson@ju.se

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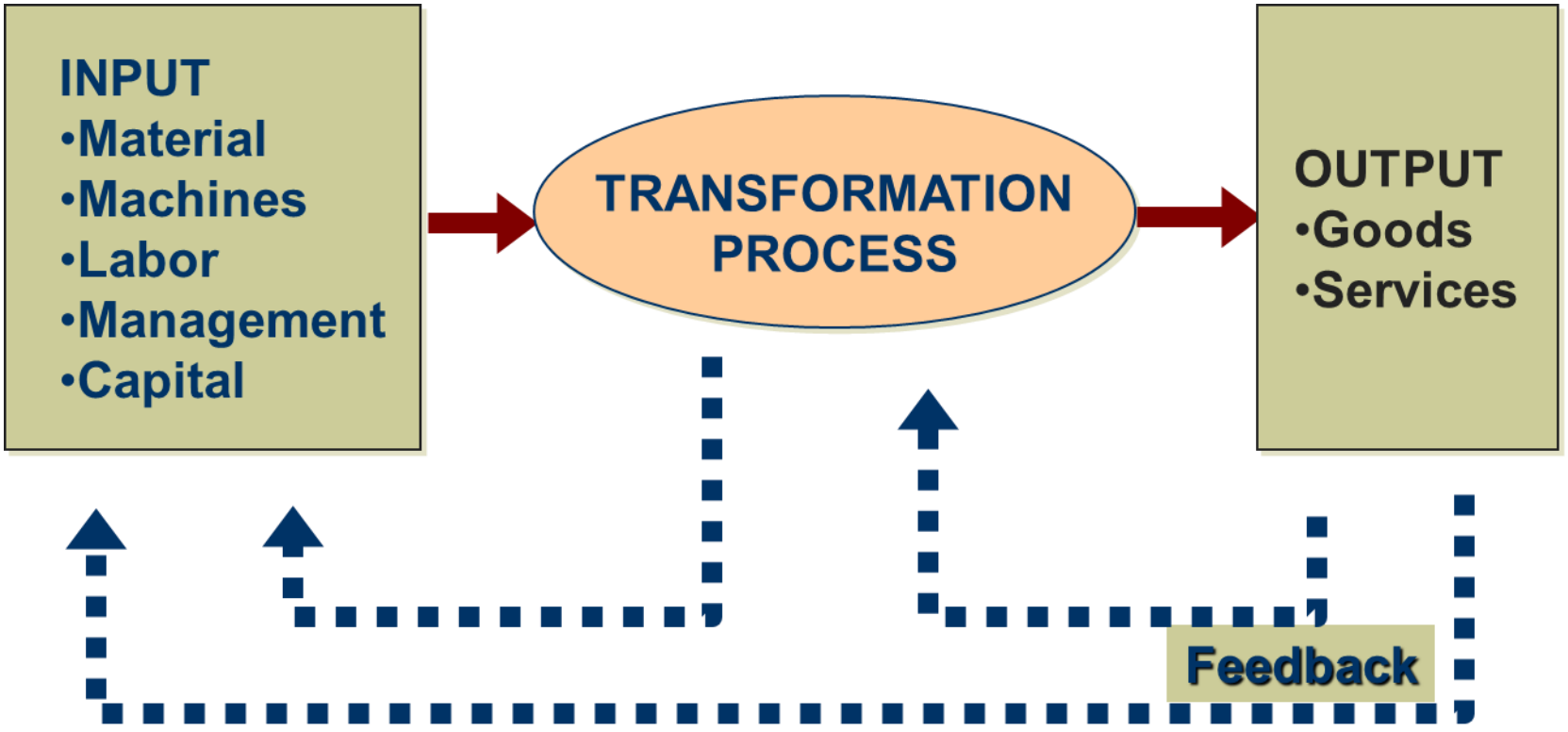
Readings

Lecture slides

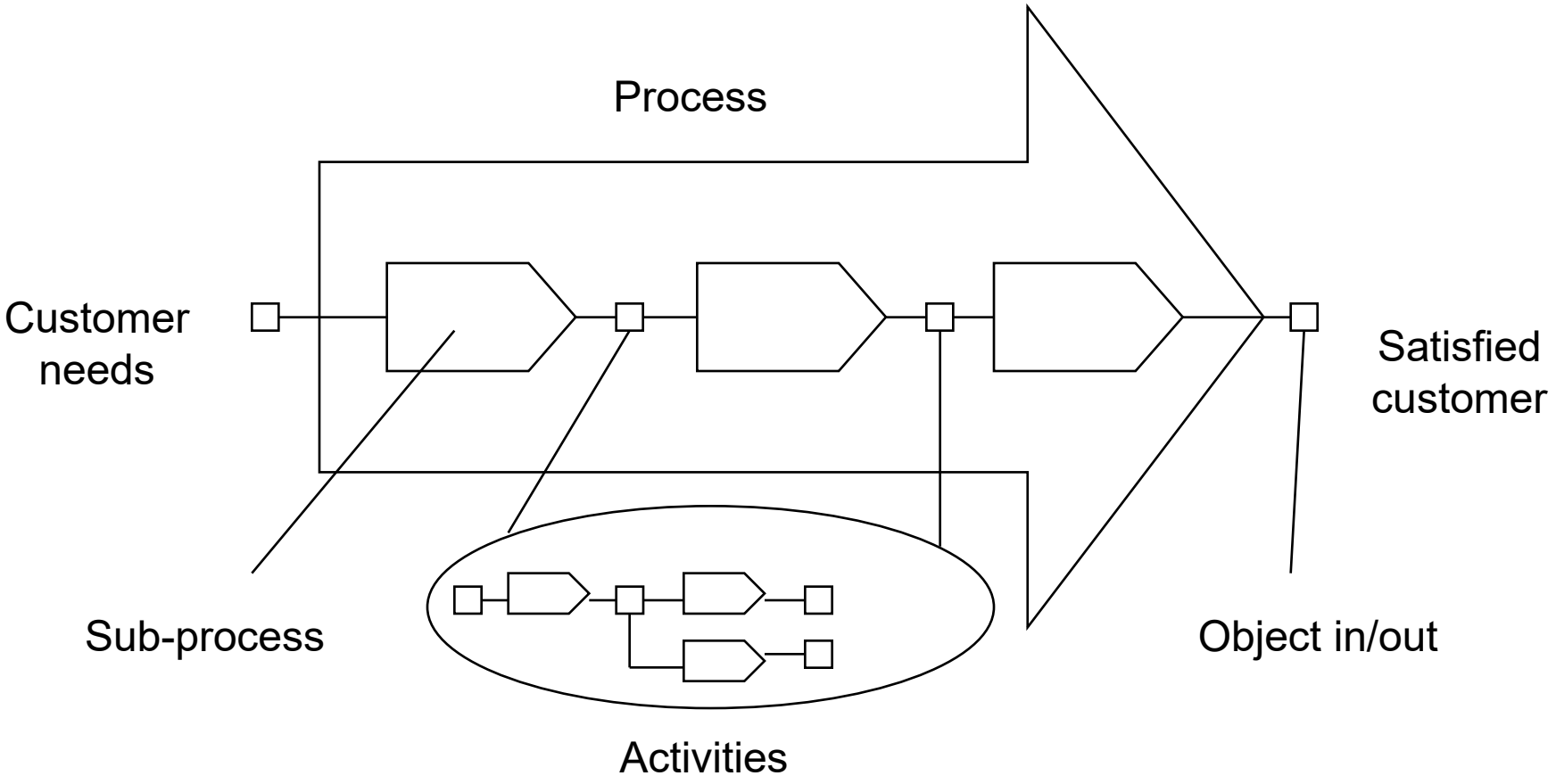
Glossary

Ben Naylor, J., Naim, M. M., & Berry, D. (1999). Leagility: Integrating the lean and agile manufacturing paradigms in the total supply chain. *International Journal of Production Economics*, *62*(1), 107–118. https://doi.org/10.1016/S0925-5273(98)00223-0

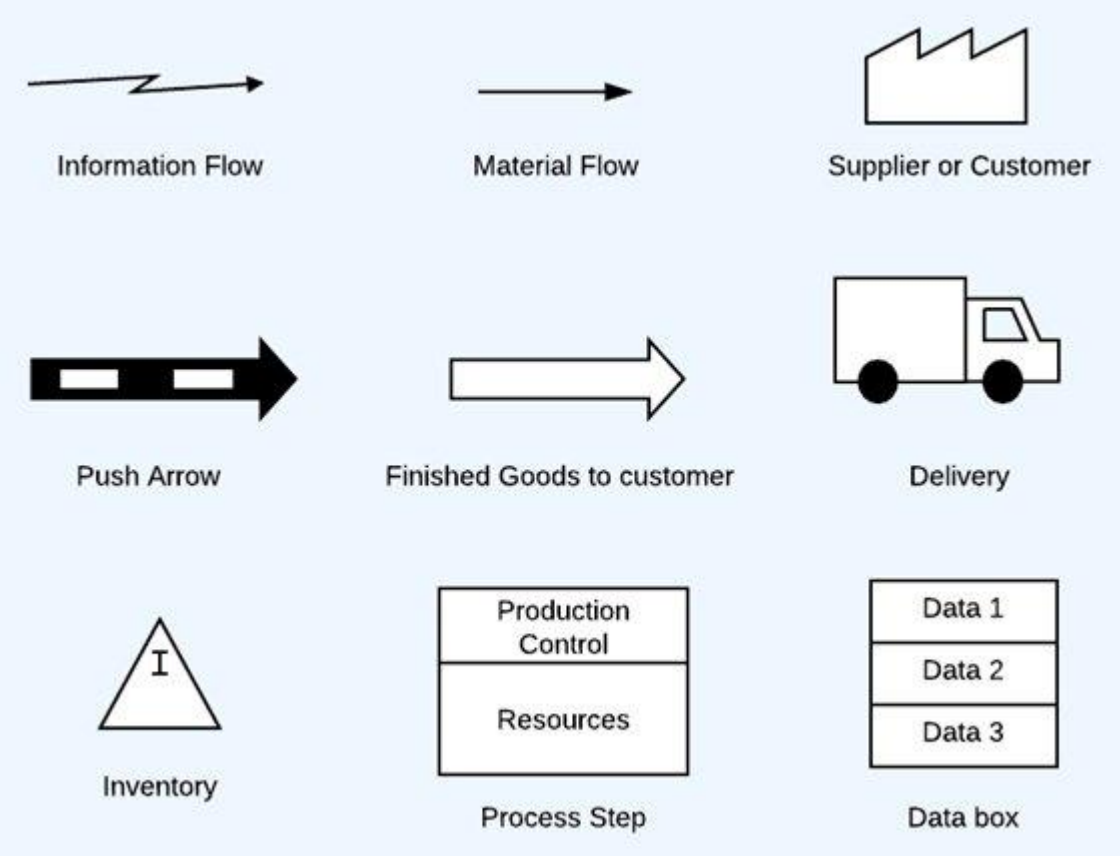
Operations Management works with transformation



Processes,sub-processes and activities



SCM SYMBOLS


Information Flow
Material Flow
Supplier or Customer
Push Arrow
Finished Goods to customer
Delivery
I
Inventory
Production Control
Resources
Process Step
Data 1
Data 2
Data 3
Data box

TQM AND BPR

TQM – Total Quality Management

An organisation-wide effort to work with quality and continous improvement (Kaizen)

Today often replaced by ISO9000, Six Sigma and

Lean manufacturing.

BPR – Business Process Reengineering

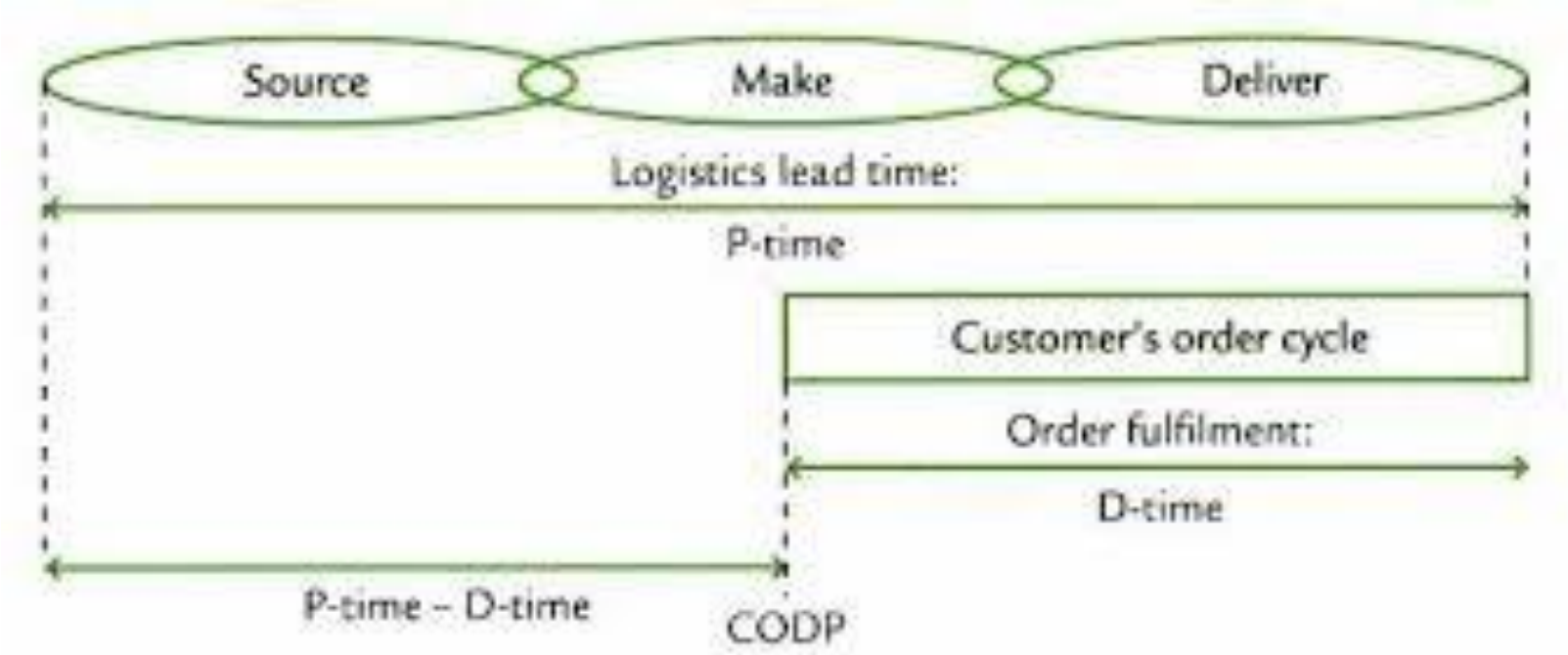
NEED TO REDUCE WASTE (MUDA) IN SUPPLY CHAINS



ORDER FULFILMENT P-TIME AND D-TIME

- P-Time is the production lead time
- D-Time is the time that the customer is willing to wait
- CODP – Customer Order Decoupling Point, defined as the point where the product is linked to a specific order

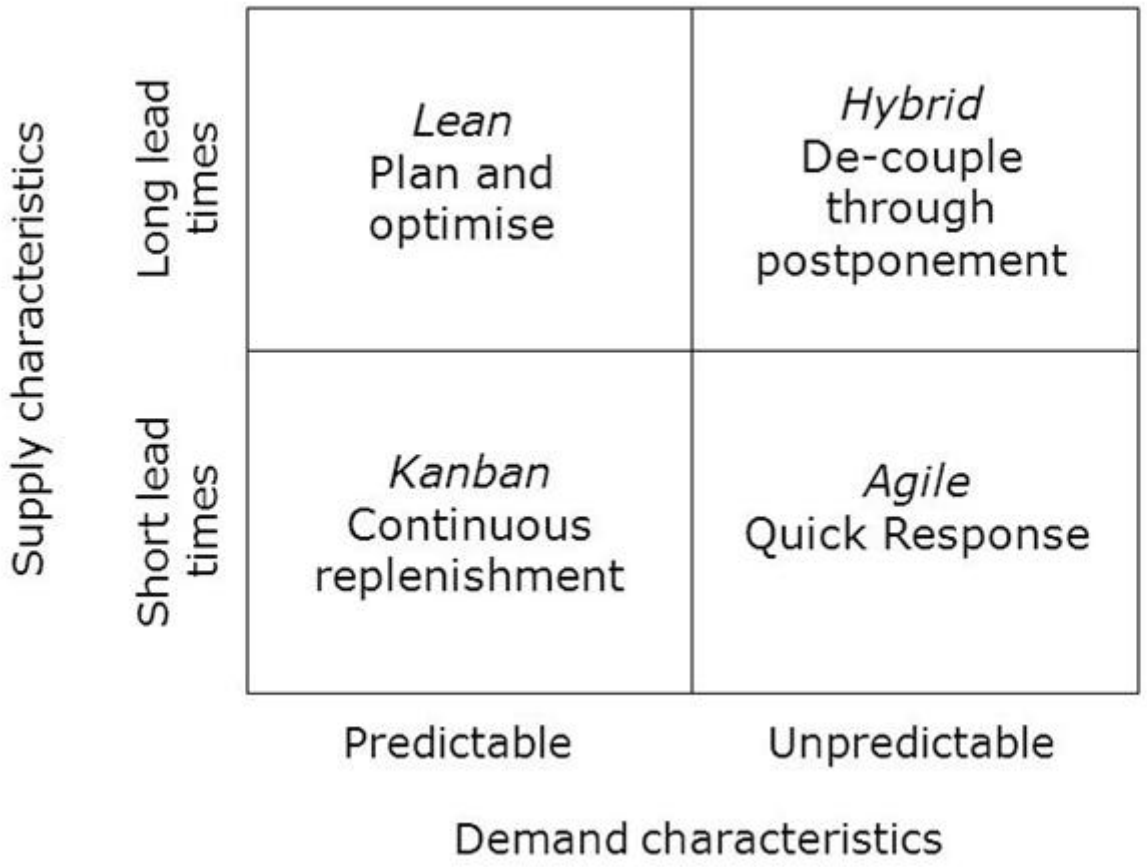
P-TIME AND D-TIME



POSTPONEMENT

Postponement is a business strategy which maximizes possible benefit and minimizes risk by delaying further investment into a product or service until the last possible moment

GENERIC SUPPLY CHAIN STRATEGIES

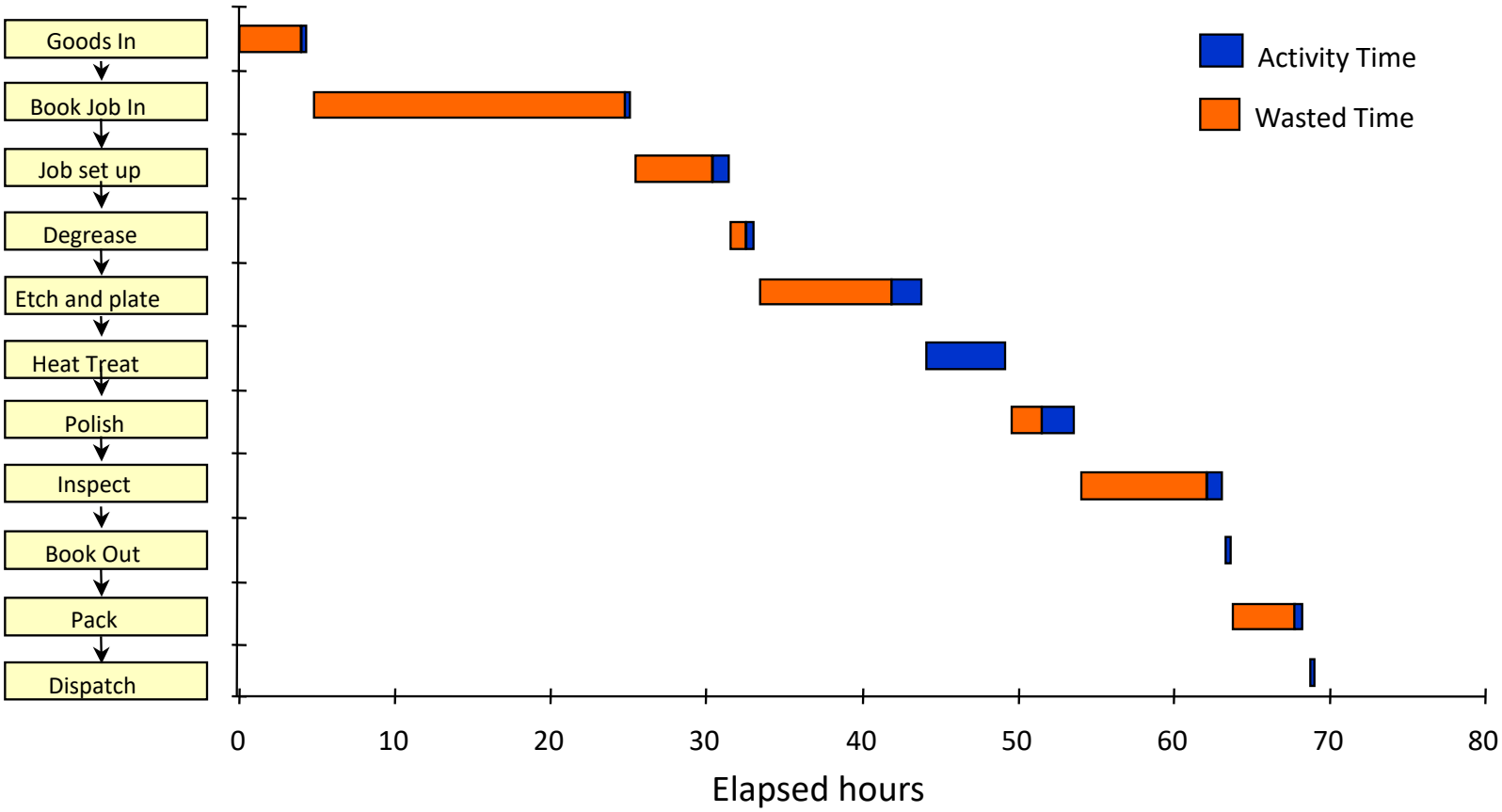


Waste and time reduction

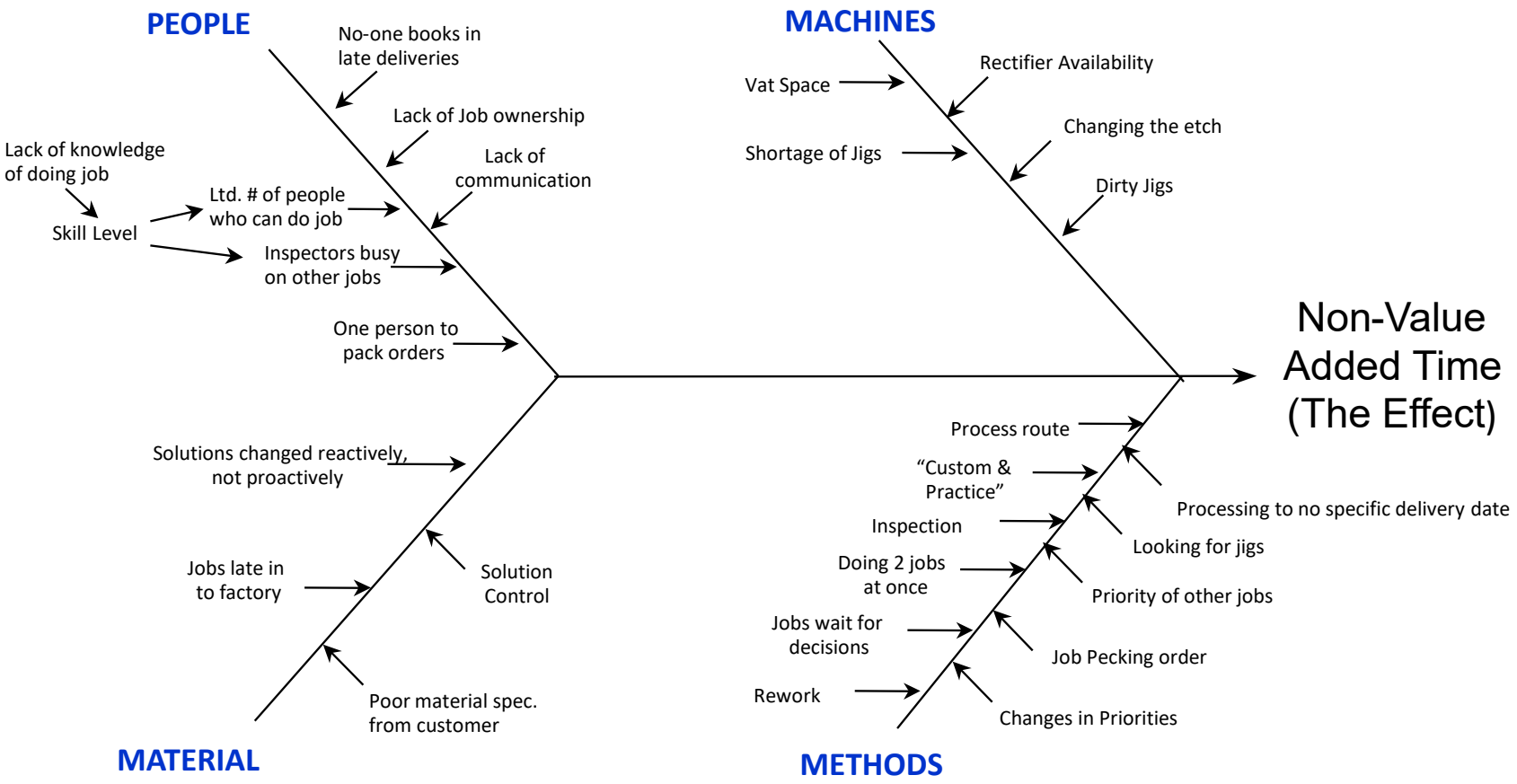
Stopping unnecessary tasks and removing wasted time from those that remain reduces cost in the following ways:

- It reduces the need for working capital
- It reduces the need for plant and equipment capital
- It reduces development costs
- It reduces quality costs

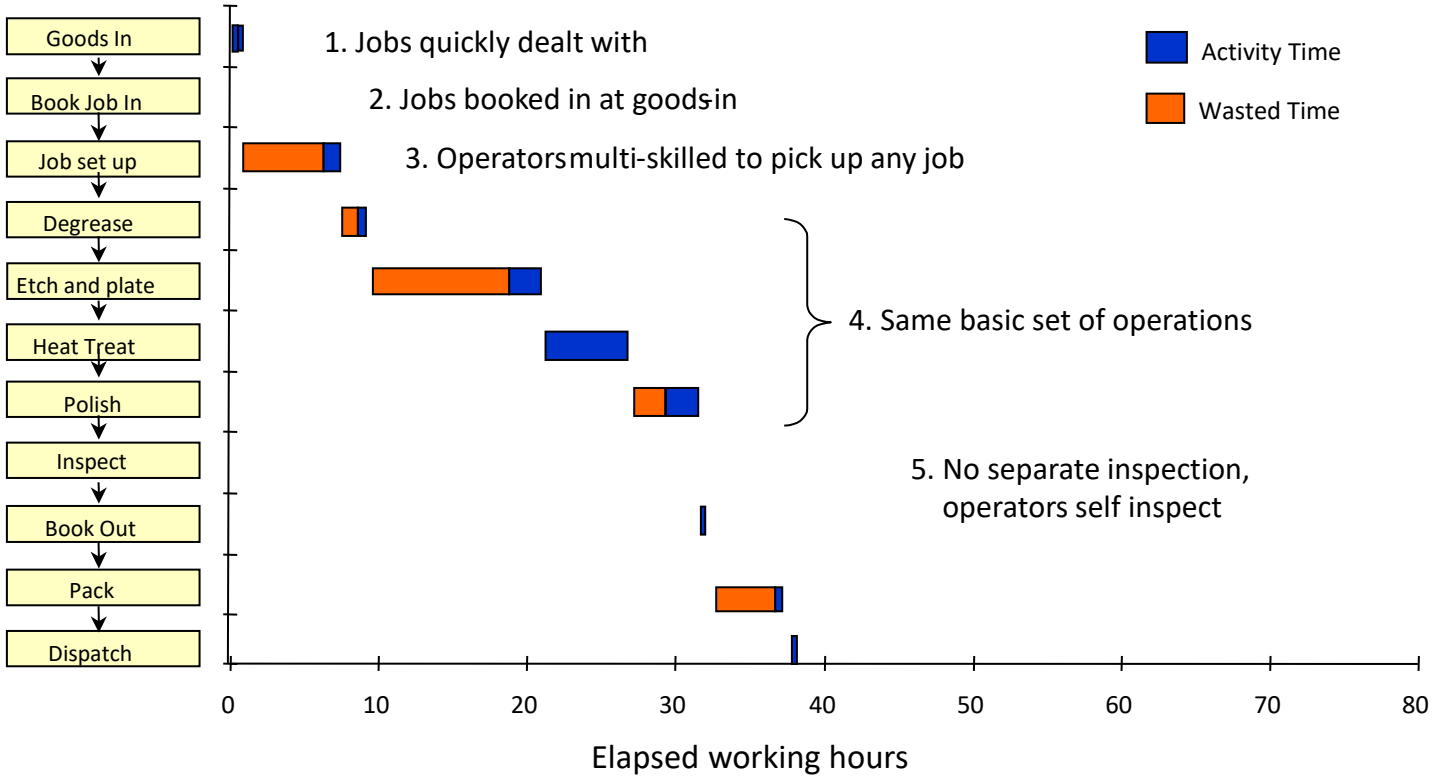
Time based process map



Cause effect diagram



Re-engineered time-based process map





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